# APPRAISAL REPORT

Quarry Station District | Cleveland, OH

| | |
|---|---|
| **Subject Property** | Quarry Station District |
| **Address** | 3072 Ridge Avenue, Cleveland, OH 69868 |
| **Property Rights Appraised** | Fee Simple |
| **Effective Date of Value** | November 24, 2021 |
| **Market Value Conclusion** | $73,140,000 |

## Demographics and Employment

Market vacancy for comparable Mixed-Use product stands at 5.6%, down from 3.0% two years ago. Rent growth in the submarket has averaged 3.6% annually over the past 4 years. Quarry Station District is located in Cleveland, OH, a market that has recorded 3.0% population growth over the last five years. Median household income within a 7-mile radius of the property is approximately $96,000 and has grown 2.3% annually.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 41 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Market vacancy for comparable Mixed-Use product stands at 10.7%, down from 4.4% two years ago. Median household income within a 9-mile radius of the property is approximately $171,000 and has grown 13.1% annually.

## Site Description

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 39 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 33 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

## Market Overview

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Investor demand for Mixed-Use assets in Cleveland remains strong with recent trades at capitalization rates between 7.96% and 7.96%. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Employment growth is led by healthcare, logistics, education and professional services sectors. Quarry Station District is located in Cleveland, OH, a market that has recorded 6.1% population growth over the last five years.

The property is walkable to transit, with 34 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Median household income within a 6-mile radius of the property is approximately $193,000 and has grown 11.2% annually. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Market vacancy for comparable Mixed-Use product stands at 11.5%, down from 6.3% two years ago.

## Site Description

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 13 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 3.3 acres and is generally level with frontage along Ridge Avenue. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Submarket Analysis

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Employment growth is led by healthcare, logistics, education and professional services sectors. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Market vacancy for comparable Mixed-Use product stands at 2.6%, down from 3.7% two years ago.

The Cleveland Mixed-Use market has experienced absorption of 1900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Mixed-Use assets in Cleveland remains strong with recent trades at capitalization rates between 5.55% and 5.55%. Median household income within a 9-mile radius of the property is approximately $393,000 and has grown 13.9% annually. Market vacancy for comparable Mixed-Use product stands at 13.2%, down from 3.6% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

## Site Description

Access to the site is provided by 16 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 48.48 acres and is generally level with frontage along Ridge Avenue. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

The site contains approximately 23.23 acres and is generally level with frontage along Ridge Avenue. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

## Demographics and Employment

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 19 structured parking spaces shared between uses. Median household income within a 6-mile radius of the property is approximately $27,000 and has grown 8.5% annually. Rent growth in the submarket has averaged 3.8% annually over the past 7 years. The Cleveland Mixed-Use market has experienced absorption of 4800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Median household income within a 4-mile radius of the property is approximately $305,000 and has grown 2.1% annually. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Investor demand for Mixed-Use assets in Cleveland remains strong with recent trades at capitalization rates between 6.54% and 6.54%. Rent growth in the submarket has averaged 5.4% annually over the past 5 years. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

## Site Description

Access to the site is provided by 15 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 43.43 acres and is generally level with frontage along Ridge Avenue.

## Market Overview

The Cleveland Mixed-Use market has experienced absorption of 3500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The property is walkable to transit, with 14 structured parking spaces shared between uses. Investor demand for Mixed-Use assets in Cleveland remains strong with recent trades at capitalization rates between 6.62% and 6.62%. Quarry Station District is located in Cleveland, OH, a market that has recorded 7.1% population growth over the last five years. Market vacancy for comparable Mixed-Use product stands at 2.4%, down from 3.9% two years ago.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Improvements Description

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Mechanical systems include rooftop package units and central plant equipment of varying age. Quarry Station District was originally constructed in 1964 and consists of 344,993 SF in a building of 39 stories.

The roof is a 39-year membrane system with an estimated remaining useful life of 9 years. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Quarry Station District was originally constructed in 1964 and consists of 344,993 SF in a building of 48 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

## Building Systems

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 31-year membrane system with an estimated remaining useful life of 9 years. Common area interiors have been refreshed within the last 9 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Quarry Station District was originally constructed in 1964 and consists of 344,993 SF in a building of 25 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

## Improvements Description

Mechanical systems include rooftop package units and central plant equipment of varying age. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The roof is a 34-year membrane system with an estimated remaining useful life of 6 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The property is walkable to transit, with 28 structured parking spaces shared between uses. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 40-year membrane system with an estimated remaining useful life of 5 years.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Sales Comparison Data

| Comparable | Location | Sale Date | Size | Price | $/Unit or SF | Cap Rate | Yr Built |
|---|---|---|---|---|---|---|---|
| Oakmont Village | Nashville, TN | 10/29/2025 | 10 | $69,600,839 | $202 | 7.31% | 1973 |
| Northgate Village | Tampa, FL | 03/05/2026 | 14 | $97,359,966 | $282 | 5.95% | 1974 |
| Northgate Market Lofts | Louisville, KY | 08/02/2025 | 9 | $88,213,223 | $256 | 5.65% | 2013 |
| Copper Mixed-Use Center | Seattle, WA | 03/30/2025 | 16 | $67,644,099 | $196 | 6.51% | 2017 |
| Granite Station District | Indianapolis, IN | 03/03/2026 | 15 | $48,068,356 | $139 | 7.99% | 2007 |
| Sable Mixed-Use Center | Jacksonville, FL | 06/11/2023 | 15 | $89,980,364 | $261 | 5.65% | 2017 |
| Lockwood Village | Richmond, VA | 02/21/2025 | 13 | $78,484,731 | $227 | 7.75% | 1982 |
| Nautilus Village | Orlando, FL | 05/20/2024 | 12 | $71,750,029 | $208 | 6.67% | 1989 |
| Dover Village | Sacramento, CA | 03/09/2022 | 8 | $65,496,387 | $190 | 7.54% | 1998 |
| Mesa Station District | Louisville, KY | 10/12/2022 | 11 | $53,530,918 | $155 | 7.83% | 1989 |
| Maple Mixed-Use Center | Boise, ID | 03/28/2024 | 16 | $96,787,248 | $281 | 7.62% | 1989 |
| Saddlebrook Mixed-Use Cent | San Antonio, TX | 11/28/2025 | 10 | $50,033,750 | $145 | 6.64% | 1972 |
| Garnet Mixed-Use Center | Omaha, NE | 09/25/2023 | 8 | $97,511,977 | $283 | 5.06% | 1980 |
| Quarry Market Lofts | Baltimore, MD | 09/26/2022 | 13 | $67,734,918 | $196 | 7.61% | 2019 |
| Tidewater Mixed-Use Center | Oklahoma City, OK | 11/02/2022 | 6 | $98,690,376 | $286 | 6.82% | 2008 |
| Meridian Station District | Norfolk, VA | 01/01/2026 | 8 | $87,571,668 | $254 | 7.01% | 2001 |
| Osprey Village | Naperville, IL | 05/17/2026 | 11 | $92,689,165 | $269 | 5.63% | 2013 |
| Beacon Station District | Sacramento, CA | 01/09/2024 | 12 | $46,063,330 | $134 | 5.13% | 2017 |
| Alder Market Lofts | Birmingham, AL | 12/07/2024 | 13 | $36,674,039 | $106 | 5.95% | 1989 |
| Thornton Village | Denver, CO | 04/30/2026 | 11 | $77,806,710 | $226 | 7.02% | 1971 |
| Jasper Station District | New Orleans, LA | 12/18/2024 | 8 | $100,014,893 | $290 | 7.57% | 1988 |
| Brookside Mixed-Use Center | Orlando, FL | 08/24/2026 | 10 | $90,245,956 | $262 | 6.78% | 2022 |
| Prairie Market Lofts | Seattle, WA | 03/19/2024 | 9 | $38,276,588 | $111 | 6.41% | 1987 |
| Alder Market Lofts | Newark, NJ | 04/09/2023 | 7 | $69,150,201 | $200 | 6.40% | 2019 |
| Marlow Market Lofts | Albuquerque, NM | 03/21/2022 | 7 | $30,780,675 | $89 | 5.00% | 2012 |
| Kingsley Station District | Norfolk, VA | 12/30/2024 | 6 | $98,053,401 | $284 | 5.39% | 1996 |
| Cedar Mixed-Use Center | Riverside, CA | 02/02/2022 | 9 | $57,608,629 | $167 | 5.22% | 2005 |
| Meridian Market Lofts | Omaha, NE | 03/11/2024 | 9 | $61,063,034 | $177 | 5.40% | 2016 |
| Harbor Market Lofts | Albuquerque, NM | 05/11/2025 | 7 | $99,725,830 | $289 | 7.77% | 2007 |
| Upland Mixed-Use Center | Riverside, CA | 01/21/2024 | 12 | $93,226,042 | $270 | 7.94% | 1996 |
| Palisade Village | Denver, CO | 02/05/2022 | 13 | $53,282,351 | $154 | 6.59% | 1987 |
| Bayview Station District | Baltimore, MD | 12/12/2022 | 10 | $61,155,753 | $177 | 5.00% | 2018 |
| Crestline Station District | Albany, NY | 10/13/2023 | 14 | $48,241,080 | $140 | 7.36% | 2012 |
| Meridian Market Lofts | Birmingham, AL | 10/31/2025 | 11 | $93,572,431 | $271 | 7.63% | 1982 |
| Harbor Mixed-Use Center | Tempe, AZ | 03/24/2024 | 14 | $96,165,874 | $279 | 6.18% | 1982 |
| Meridian Mixed-Use Center | Jacksonville, FL | 05/13/2022 | 9 | $74,111,024 | $215 | 7.58% | 1997 |
| Tidewater Mixed-Use Center | Raleigh, NC | 02/15/2022 | 15 | $67,457,136 | $196 | 5.67% | 2019 |
| Mesa Station District | San Diego, CA | 11/09/2025 | 10 | $59,682,971 | $173 | 7.47% | 1969 |
| Hollis Station District | Albany, NY | 01/06/2022 | 7 | $49,230,038 | $143 | 8.17% | 1986 |
| Copper Market Lofts | Richmond, VA | 11/10/2022 | 10 | $62,443,148 | $181 | 8.18% | 1984 |
| Northgate Market Lofts | Pittsburgh, PA | 02/22/2024 | 15 | $81,310,897 | $236 | 5.23% | 1982 |

Report generated 11/24/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Valuation Discussion

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The going-in capitalization rate of 6.31% reflects the in-place income and the stabilized occupancy assumption. The property is walkable to transit, with 19 structured parking spaces shared between uses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $22,000 or approximately 34.77 per square foot, with real estate taxes representing the largest line item.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 46 structured parking spaces shared between uses. Debt service coverage ratio was 5.16x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period.

## Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.51% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.23x on a trailing basis against a covenant minimum of 1.20x. The property is walkable to transit, with 40 structured parking spaces shared between uses.

Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Operating expenses totaled $430,000 or approximately 39.32 per square foot, with real estate taxes representing the largest line item. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 17 structured parking spaces shared between uses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

## Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $388,000 or approximately 23.81 per square foot, with real estate taxes representing the largest line item. The property is walkable to transit, with 3 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. The property is walkable to transit, with 19 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The going-in capitalization rate of 7.05% reflects the in-place income and the stabilized occupancy assumption.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Rent Comparables

| Comparable | Distance | Yr Built | Space Type | Asking Rent | Occupancy | Concessions |
|---|---|---|---|---|---|---|
| Willow Market Lofts | 3.6 mi | 1993 | Studio | $28.92 | 96.7% | None |
| Amberly Station District | 1.1 mi | 1982 | Studio | $30.27 | 89.2% | 1 mo. free |
| Quarry Mixed-Use Center | 0.8 mi | 1991 | Inline | $27.14 | 93.4% | None |
| Willow Station District | 1.4 mi | 2017 | Suite | $29.71 | 91.5% | 1 mo. free |
| Marlow Station District | 4.6 mi | 2019 | Suite | $28.58 | 93.5% | None |
| Pinecrest Station District | 1.1 mi | 1978 | 2BR | $25.26 | 90.6% | None |
| Ivy Village | 1.3 mi | 1977 | 2BR | $23.13 | 89.1% | 1 mo. free |
| Calloway Mixed-Use Center | 1.8 mi | 2015 | Studio | $24.32 | 90.9% | 1 mo. free |
| Aspen Station District | 2.1 mi | 2022 | Unit | $24.36 | 96.5% | None |
| Tidewater Market Lofts | 3.0 mi | 1971 | Studio | $29.51 | 89.4% | $500 |
| Everett Village | 2.2 mi | 1987 | Bay | $27.68 | 97.6% | None |
| Lockwood Village | 0.8 mi | 2006 | 1BR | $23.36 | 88.8% | 1 mo. free |
| Kestrel Station District | 2.5 mi | 2002 | 1BR | $26.03 | 86.7% | None |
| Riverbend Station District | 4.3 mi | 1993 | Suite | $27.15 | 97.2% | $500 |
| Whitaker Village | 2.4 mi | 1975 | 1BR | $24.61 | 94.5% | None |
| Nautilus Station District | 0.8 mi | 1999 | 1BR | $26.58 | 86.4% | $500 |
| Lakeshore Mixed-Use Center | 4.7 mi | 1989 | Inline | $28.80 | 97.6% | 1 mo. free |
| Redwood Station District | 4.9 mi | 2018 | Bay | $30.61 | 91.4% | 1 mo. free |
| Vista Village | 3.3 mi | 1995 | Suite | $27.65 | 95.2% | $500 |
| Vista Village | 0.7 mi | 2004 | Bay | $25.85 | 87.3% | None |
| Beacon Mixed-Use Center | 3.8 mi | 2011 | 2BR | $25.92 | 94.2% | None |
| Quarry Village | 4.1 mi | 1989 | Unit | $27.48 | 93.1% | None |
| Hawthorne Mixed-Use Center | 5.0 mi | 2015 | Unit | $25.12 | 89.9% | None |
| Copper Village | 1.4 mi | 1979 | Bay | $23.33 | 87.6% | 1 mo. free |
| Saddlebrook Market Lofts | 4.0 mi | 2013 | 2BR | $25.66 | 89.1% | None |
| Whitaker Station District | 0.9 mi | 2006 | Bay | $30.71 | 89.6% | None |
| Vista Market Lofts | 4.4 mi | 2019 | 1BR | $25.62 | 92.9% | None |
| Lockwood Mixed-Use Center | 2.9 mi | 1976 | Inline | $27.14 | 88.2% | 1 mo. free |
| Willow Market Lofts | 4.3 mi | 2007 | Studio | $26.22 | 88.9% | 1 mo. free |
| Amberly Mixed-Use Center | 1.6 mi | 1978 | Studio | $25.33 | 89.0% | $500 |
| Mesa Market Lofts | 3.4 mi | 2006 | Studio | $27.27 | 95.0% | None |
| Magnolia Mixed-Use Center | 4.9 mi | 2020 | Suite | $22.82 | 90.7% | None |
| Magnolia Mixed-Use Center | 4.2 mi | 2014 | Studio | $31.01 | 87.8% | 1 mo. free |
| Juniper Village | 2.8 mi | 1997 | Suite | $27.80 | 90.8% | None |
| Ivy Village | 1.6 mi | 2023 | 2BR | $26.98 | 91.4% | None |
| Westgate Village | 1.2 mi | 1971 | Suite | $27.98 | 91.2% | 1 mo. free |
| Whitaker Mixed-Use Center | 2.2 mi | 1978 | Unit | $25.93 | 92.6% | $500 |
| Hawthorne Mixed-Use Center | 2.3 mi | 2003 | Bay | $27.23 | 94.9% | $500 |
| Newport Station District | 3.7 mi | 1998 | Suite | $29.26 | 96.7% | None |
| Cedar Mixed-Use Center | 0.9 mi | 1998 | Bay | $27.97 | 96.6% | $500 |

Report generated 11/24/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Market Overview

The property is walkable to transit, with 41 structured parking spaces shared between uses. Median household income within a 1-mile radius of the property is approximately $82,000 and has grown 6.8% annually. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Quarry Station District is located in Cleveland, OH, a market that has recorded 11.7% population growth over the last five years. The Cleveland Mixed-Use market has experienced absorption of 3300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

The property is walkable to transit, with 8 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Market vacancy for comparable Mixed-Use product stands at 9.4%, down from 6.0% two years ago. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Quarry Station District is located in Cleveland, OH, a market that has recorded 5.2% population growth over the last five years. Rent growth in the submarket has averaged 8.0% annually over the past 11 years.

## Topography and Flood Zone

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Access to the site is provided by 3 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

## Submarket Analysis

Quarry Station District is located in Cleveland, OH, a market that has recorded 12.4% population growth over the last five years. The Cleveland Mixed-Use market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 3.1% annually over the past 11 years. Investor demand for Mixed-Use assets in Cleveland remains strong with recent trades at capitalization rates between 5.01% and 5.01%.

Market vacancy for comparable Mixed-Use product stands at 3.5%, down from 7.7% two years ago. The Cleveland Mixed-Use market has experienced absorption of 2500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Mixed-Use assets in Cleveland remains strong with recent trades at capitalization rates between 6.03% and 6.03%. Percentage rent and CAM reimbursements are tracked separately for the commercial component. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

## Topography and Flood Zone

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 27 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 44.44 acres and is generally level with frontage along Ridge Avenue.

## Demographics and Employment

The Cleveland Mixed-Use market has experienced absorption of 1100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Rent growth in the submarket has averaged 3.8% annually over the past 6 years. Quarry Station District is located in Cleveland, OH, a market that has recorded 10.7% population growth over the last five years.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Construction Details

Common area interiors have been refreshed within the last 7 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 38-year membrane system with an estimated remaining useful life of 11 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Quarry Station District was originally constructed in 1964 and consists of 344,993 SF in a building of 47 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

## Improvements Description

The roof is a 44-year membrane system with an estimated remaining useful life of 7 years. Common area interiors have been refreshed within the last 11 years and are in average to good condition. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Quarry Station District was originally constructed in 1964 and consists of 344,993 SF in a building of 7 stories.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Common area interiors have been refreshed within the last 3 years and are in average to good condition. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

## Improvements Description

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 5 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Common area interiors have been refreshed within the last 12 years and are in average to good condition. The roof is a 38-year membrane system with an estimated remaining useful life of 10 years.

The property is walkable to transit, with 22 structured parking spaces shared between uses. The roof is a 9-year membrane system with an estimated remaining useful life of 6 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Sales Comparison Data

| Comparable | Location | Sale Date | Size | Price | $/Unit or SF | Cap Rate | Yr Built |
|---|---|---|---|---|---|---|---|
| Alder Mixed-Use Center | Norfolk, VA | 02/23/2023 | 15 | $77,776,698 | $225 | 7.18% | 1997 |
| Bayview Village | Birmingham, AL | 03/14/2024 | 12 | $50,728,955 | $147 | 7.26% | 2020 |
| Highland Village | Chicago, IL | 09/01/2026 | 16 | $55,106,185 | $160 | 6.93% | 2023 |
| Windmill Market Lofts | Richmond, VA | 08/16/2025 | 7 | $91,624,484 | $266 | 7.75% | 2019 |
| Marlow Market Lofts | Baltimore, MD | 01/25/2023 | 7 | $64,378,447 | $187 | 6.32% | 2019 |
| Foxglove Market Lofts | Charlotte, NC | 03/22/2025 | 14 | $87,963,006 | $255 | 7.84% | 1997 |
| Granite Village | Madison, WI | 11/29/2023 | 11 | $60,535,552 | $175 | 7.87% | 2003 |
| Westgate Station District | Hartford, CT | 06/06/2022 | 13 | $43,229,051 | $125 | 8.08% | 1981 |
| Pelican Market Lofts | Aurora, CO | 08/05/2023 | 13 | $41,751,661 | $121 | 7.04% | 1970 |
| Juniper Station District | Nashville, TN | 11/27/2024 | 8 | $39,687,771 | $115 | 7.07% | 2018 |
| Valley Station District | Dallas, TX | 03/19/2024 | 6 | $40,182,561 | $116 | 5.98% | 2021 |
| Saddlebrook Mixed-Use Cent | Des Moines, IA | 08/15/2023 | 11 | $76,224,957 | $221 | 5.09% | 2021 |
| Lantern Station District | Columbus, OH | 10/10/2023 | 10 | $32,081,039 | $93 | 6.54% | 1974 |
| Quarry Market Lofts | Detroit, MI | 03/30/2026 | 13 | $50,601,305 | $147 | 5.02% | 2011 |
| Oakmont Village | Minneapolis, MN | 10/29/2022 | 14 | $68,013,609 | $197 | 7.42% | 1987 |
| Ridgeline Station District | Sacramento, CA | 06/29/2026 | 6 | $46,170,093 | $134 | 5.12% | 1970 |
| Mesa Market Lofts | Dallas, TX | 05/23/2024 | 14 | $68,909,233 | $200 | 5.72% | 2011 |
| Cobalt Mixed-Use Center | Memphis, TN | 02/08/2025 | 13 | $57,863,871 | $168 | 5.48% | 1986 |
| Ashford Station District | Cincinnati, OH | 06/11/2024 | 10 | $34,708,285 | $101 | 7.64% | 1971 |
| Canyon Mixed-Use Center | Tempe, AZ | 01/18/2024 | 12 | $98,241,622 | $285 | 6.31% | 2022 |
| Sterling Village | St. Louis, MO | 12/06/2023 | 13 | $53,192,130 | $154 | 7.31% | 1988 |
| Quincy Village | Philadelphia, PA | 01/24/2026 | 16 | $97,209,175 | $282 | 8.12% | 2001 |
| Jasper Village | New Orleans, LA | 04/13/2023 | 6 | $81,016,674 | $235 | 6.11% | 1975 |
| Quarry Station District | Jacksonville, FL | 01/29/2025 | 12 | $76,891,250 | $223 | 5.29% | 2010 |
| Westgate Mixed-Use Center | Atlanta, GA | 01/12/2024 | 16 | $32,374,346 | $94 | 8.10% | 1991 |
| Hollis Station District | Houston, TX | 07/24/2023 | 12 | $33,961,096 | $98 | 8.01% | 2018 |
| Whitaker Station District | San Diego, CA | 11/22/2023 | 6 | $80,934,181 | $235 | 7.31% | 1989 |
| Banyan Village | Boston, MA | 12/15/2023 | 15 | $89,369,881 | $259 | 6.39% | 1984 |
| Parkview Mixed-Use Center | Cincinnati, OH | 01/18/2024 | 7 | $52,328,788 | $152 | 6.96% | 1972 |
| Verde Village | Nashville, TN | 05/09/2025 | 9 | $77,897,505 | $226 | 6.31% | 2008 |
| Cypress Station District | Atlanta, GA | 11/02/2023 | 7 | $96,092,561 | $279 | 6.92% | 2020 |
| Northgate Market Lofts | Richmond, VA | 03/19/2023 | 9 | $89,048,560 | $258 | 7.59% | 1999 |
| Alder Station District | Nashville, TN | 01/12/2023 | 7 | $54,532,384 | $158 | 5.27% | 1984 |
| Timberline Village | Columbus, OH | 01/18/2024 | 15 | $67,280,874 | $195 | 5.13% | 2006 |
| Eastlake Mixed-Use Center | Seattle, WA | 06/24/2023 | 16 | $102,350,356 | $297 | 5.34% | 2007 |
| Quarry Market Lofts | Portland, OR | 03/01/2023 | 6 | $35,642,778 | $103 | 5.47% | 2017 |
| Verde Village | Madison, WI | 03/03/2022 | 13 | $54,772,773 | $159 | 5.91% | 2005 |
| Sterling Market Lofts | Kansas City, MO | 08/30/2025 | 10 | $100,916,695 | $293 | 7.59% | 2019 |
| Stonebridge Station Distri | Phoenix, AZ | 07/26/2024 | 14 | $50,268,336 | $146 | 6.86% | 1983 |
| Summit Market Lofts | Madison, WI | 02/04/2024 | 16 | $37,923,499 | $110 | 5.81% | 1983 |

Report generated 11/24/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is walkable to transit, with 31 structured parking spaces shared between uses. Effective gross income for the trailing period was $165,000, representing a 11.6% increase over the prior year. Debt service coverage ratio was 6.46x on a trailing basis against a covenant minimum of 1.20x. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

The property is walkable to transit, with 19 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Effective gross income for the trailing period was $244,000, representing a 12.0% increase over the prior year. The going-in capitalization rate of 5.39% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

## Valuation Discussion

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Debt service coverage ratio was 6.77x on a trailing basis against a covenant minimum of 1.20x. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. The property is walkable to transit, with 34 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The going-in capitalization rate of 6.19% reflects the in-place income and the stabilized occupancy assumption. The property is walkable to transit, with 37 structured parking spaces shared between uses. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses.

## Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $421,000 or approximately 36.33 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.71x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.07% reflects the in-place income and the stabilized occupancy assumption.

Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $415,000, representing a 7.5% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.37x on a trailing basis against a covenant minimum of 1.20x.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Rent Comparables

| Comparable | Distance | Yr Built | Space Type | Asking Rent | Occupancy | Concessions |
|---|---|---|---|---|---|---|
| Ironwood Village | 0.6 mi | 1970 | Unit | $30.91 | 90.3% | $500 |
| Keystone Market Lofts | 1.1 mi | 1986 | 1BR | $27.25 | 93.2% | None |
| Ridgeline Station District | 4.9 mi | 2019 | Suite | $23.96 | 87.3% | None |
| Calloway Station District | 0.5 mi | 2010 | 2BR | $22.46 | 93.7% | 1 mo. free |
| Pinecrest Mixed-Use Center | 1.4 mi | 1985 | Unit | $23.88 | 97.0% | 1 mo. free |
| Alder Market Lofts | 3.7 mi | 2014 | 1BR | $30.47 | 86.1% | None |
| Eastlake Mixed-Use Center | 1.3 mi | 1976 | Suite | $28.33 | 93.6% | None |
| Dunmore Mixed-Use Center | 4.4 mi | 1990 | Inline | $24.51 | 91.9% | $500 |
| Aspen Station District | 0.5 mi | 1985 | Bay | $30.08 | 92.9% | None |
| Hollis Village | 2.7 mi | 1978 | Unit | $26.49 | 97.6% | None |
| Raven Station District | 1.0 mi | 1976 | Bay | $26.01 | 86.4% | None |
| Highland Village | 1.4 mi | 2006 | Bay | $29.07 | 95.3% | 1 mo. free |
| Magnolia Mixed-Use Center | 2.5 mi | 1980 | 2BR | $25.52 | 92.7% | 1 mo. free |
| Yarrow Station District | 4.1 mi | 1980 | Studio | $28.50 | 91.1% | $500 |
| Osprey Market Lofts | 3.6 mi | 1972 | Suite | $29.70 | 92.8% | $500 |
| Quincy Mixed-Use Center | 3.2 mi | 1978 | Inline | $23.11 | 92.6% | None |
| Ivy Village | 1.4 mi | 2008 | Unit | $26.89 | 92.8% | 1 mo. free |
| Lantern Village | 1.7 mi | 2022 | 2BR | $29.04 | 94.2% | None |
| Dover Village | 3.6 mi | 1997 | 2BR | $30.93 | 87.6% | $500 |
| Hawthorne Market Lofts | 0.3 mi | 2007 | Suite | $26.25 | 90.6% | 1 mo. free |
| Mesa Village | 2.1 mi | 1986 | 2BR | $28.04 | 94.7% | None |
| Dunmore Village | 2.3 mi | 2014 | Inline | $29.96 | 89.4% | None |
| Westgate Village | 1.5 mi | 2008 | Inline | $27.75 | 92.9% | $500 |
| Quincy Mixed-Use Center | 4.7 mi | 2011 | Studio | $25.77 | 95.9% | $500 |
| Maple Village | 1.1 mi | 1980 | Studio | $31.16 | 96.0% | 1 mo. free |
| Elmhurst Station District | 3.8 mi | 1993 | Inline | $25.94 | 95.5% | $500 |
| Cobalt Village | 4.9 mi | 2005 | 2BR | $25.77 | 91.6% | 1 mo. free |
| Saddlebrook Market Lofts | 3.9 mi | 2005 | Inline | $28.91 | 90.9% | 1 mo. free |
| Cedar Market Lofts | 4.5 mi | 2023 | 1BR | $27.17 | 88.1% | None |
| Timberline Market Lofts | 2.5 mi | 2001 | 1BR | $24.46 | 93.9% | 1 mo. free |
| Canyon Station District | 2.2 mi | 2000 | 2BR | $28.66 | 98.0% | 1 mo. free |
| Union Village | 4.4 mi | 2017 | Unit | $27.11 | 97.1% | None |
| Hawthorne Market Lofts | 2.9 mi | 1979 | Suite | $22.92 | 92.0% | $500 |
| Prairie Station District | 3.0 mi | 2016 | Bay | $26.37 | 90.8% | 1 mo. free |
| Kestrel Village | 4.4 mi | 2019 | 2BR | $26.71 | 94.9% | 1 mo. free |
| Parkview Village | 4.7 mi | 2000 | Inline | $23.65 | 87.6% | $500 |
| Beacon Mixed-Use Center | 3.5 mi | 1989 | 2BR | $23.74 | 95.6% | 1 mo. free |
| Newport Station District | 3.8 mi | 2004 | 1BR | $24.39 | 90.9% | 1 mo. free |
| Onyx Market Lofts | 0.9 mi | 1980 | Suite | $26.47 | 95.8% | None |
| Vista Market Lofts | 1.0 mi | 1978 | Suite | $28.26 | 95.1% | $500 |
| Banyan Station District | 4.0 mi | 2006 | Inline | $26.31 | 94.6% | None |
| Maple Station District | 0.7 mi | 2005 | Bay | $27.32 | 95.5% | 1 mo. free |
| Birchwood Village | 2.0 mi | 2009 | 1BR | $24.79 | 95.0% | None |

Report generated 11/24/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only